

Driving Higher Average Order Value (AOV) on Zepto

End-to-End Approach

Executive Summary

Zepto users place orders frequently but consistently build small baskets, resulting in a lower Average Order Value (AOV). Through qualitative interviews, survey-based validation, and market context analysis, this work finds that low AOV is not driven by lack of demand, pricing, or motivation. Instead, it is driven by how users make decisions under time and cognitive pressure.

Users approach Zepto as a task-completion tool, not a shopping destination. They enter sessions with narrow intent, rely heavily on search and memory, and mentally cap spending early to preserve speed and avoid overspending. As a result, users stop adding items even when additional household needs exist. Stopping behavior is emotional and cognitive rather than rational, with users optimizing for certainty and relief rather than basket completeness.

This project reframes AOV as a decision-support problem, not a discovery or demand problem. By reducing decision friction, increasing confidence, and making value and completeness visible at the right moments, Zepto can increase basket size without compromising its speed-first value proposition.

Based on these insights, six product solutions were identified and prioritized using a custom RICE framework. The highest-priority solutions focus on lightweight guidance, such as smart reminders, basket completeness indicators, and value framing, that help users decide better under pressure rather than pushing more products.

The recommended approach enables sustainable AOV growth by aligning product design with real user behavior, thereby preserving trust and strengthening Zepto's core promise of fast and reliable convenience.

Problem Context & Framing

This work started with a **conscious decision not to frame AOV as a pricing, discounting, or demand-generation problem.**

In quick-commerce contexts, users are rarely constrained by need. Most households have additional unmet needs at the time of ordering. Instead, user behavior is shaped by:

- Time pressure
- Cognitive load

- Confidence in decision-making

Any attempt to increase AOV without acknowledging these constraints risks weakening Zepto's most important differentiator: **speed and reliability**.

Based on this understanding, the problem was framed as:

How might Zepto increase basket size without slowing users down or eroding trust by improving how decisions are made during basket building?

This framing directly influenced:

- Which research signals were prioritized
- Which solution directions were intentionally avoided (e.g., forced browsing, aggressive upselling)
- How success was defined across the case study

Research Strategy & Rationale

Research Approach

The research approach was designed to balance **depth of understanding** with **confidence in recurrence**. The goal was not volume of data, but clarity on **decision mechanics**—how users think, hesitate, and stop while building baskets.

Primary Research

- **20 one-on-one user interviews** across:
 - Different ordering frequencies (frequent refills, weekly planners)
 - Different household contexts
 - Primarily urban, time-constrained users
- Interviews lasted **15-20 minutes** and were anchored on the user's **most recent Zepto order**, not hypothetical behavior
- Interview proof collected via screenshots and recordings (with consent)

This design surfaced:

- Where decisions were fast and automatic
- Where hesitation or anxiety appeared
- Where users chose to stop rather than evaluate further

Survey Research

A structured survey was used to validate qualitative patterns at scale. The survey focused on **observable behavior**, not opinions, capturing:

- Buying frequency and session triggers
- Basket-building methods (search, browsing, past orders)
- When and why users stop adding items
- Triggers that increase confidence to add more
- Post-checkout regret (forgotten items)

Questions were intentionally action-oriented (e.g., *“When do you stop adding items?”* rather than *“Why do you like Zepto?”*).

Key Signals Observed

Survey results reinforced interview findings:

- Most sessions are triggered by **urgent or convenience-driven needs**
- **Search dominates browsing**, limiting discovery
- Users frequently stop when the basket *feels* expensive enough
- A meaningful portion of users forget items after checkout
- Confidence increases when **value and completeness are made explicit**

These signals helped distinguish **actual behavioral constraints** from perceived ones and directly informed the blockers highlighted later.

Market Context & Competitive Behavior

To avoid designing in isolation, observed behaviors were compared against broader quick-commerce patterns.

Across the category, similar behaviors consistently appear:

- Speed-first usage dominates
- Discovery is secondary to task completion
- Users experience anxiety around overspending and forgetting items
- Bundles are often ignored due to unclear value or low trust

This context suggested that **low AOV is a category-level behavior**, not a Zepto-specific issue—reinforcing that the opportunity lies in **decision support**, not inventory push.

Behavioral User Segmentation

Users were segmented by **decision style**, not demographics. This clarified that AOV constraints vary by mindset.

Segment	Description	Typical AOV Pattern
Quick Refill Users	Frequent, speed-driven, intent-capped	Very Low
Weekly Planners	Completeness- and value-oriented	Medium
Convenience / Impulse Users	Situational, offer-sensitive	Medium–High
Category-Focused Users	Narrow scope, trust-dependent	Low

This segmentation made clear that **one-size-fits-all solutions would fail**.

Key Blockers Identified

Across interviews and survey data, six consistent blockers emerged:

- Decision fatigue under time pressure
- Low discovery beyond search
- Perceived price sensitivity without value framing
- Unclear or untrusted bundle value
- Trust gaps in fresh and non-essential categories
- A strong “get in, get out” mental model

These blockers are **behavioral**, not functional. Users can add items, but choose not to.

User Personas

Segment	Quick Refill User	Value-Conscious Planner	Convenience-Seeking Impulse Buyer
Demographic	• Age: 24–35 • - Occupation: Working professionals • - Geography: Urban / Metro	• Age: 30–45 • - Household: Family • - Geography: Urban / Tier 1–2	• Age: 20–40 • Mixed profiles • - Geography: Urban
Psychographic	• Speed-first mindset • - Task-oriented • - Low tolerance for friction	• Value-seeking • - Risk-averse spender • - Wants reassurance	• Convenience-driven • - Deal-aware • - Open to discovery
Behavioral	• Orders daily / 2–3x a week • - Trigger: Urgent refill • - Adds via search & past orders • - Avoids browsing	• Orders once a week • - Trigger: Planned grocery shopping • - Reviews cart before checkout • - Sensitive to total value	• Orders less frequently • - Trigger: Offers / convenience • - Explores categories occasionally • - Adds items beyond initial plan
Basket-Building Pattern	• Stops after planned items • - Mentally caps spend early • - Often forgets secondary items	• Stops when total feels high • - Hesitant to trust bundles • - Seeks completeness	• Adds items when nudged • - Responds to bundles & offers • - Less rigid stopping rule
Primary Motivation	Finish the order as quickly as possible	Get maximum value for the spend	Make shopping easy and worthwhile
Key Barriers to Higher AOV	• Time pressure • - Decision fatigue • - Low discovery	• Price anxiety • - Unclear value framing • - Low bundle trust	• Low relevance of suggestions • - Inconsistent prompts

Representative Quote	"I just want to place the order quickly. I don't want to think."	"I'm never sure if I've covered everything."	"If something useful shows up, I'll add it."
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Insight Synthesis: Insight Pyramid

Observations

- Search dominates item addition
- Users stop early despite unmet needs
- Forgotten items are common

Behavioral Drivers

- Speed and certainty matter more than completeness
- Mental budgets cap baskets early
- Stopping provides emotional relief

Core Insight

AOV is constrained by decision friction, not demand.

Ideation Principles (Ideation Pyramid)

Constraints

- Speed is non-negotiable
- Trust must be preserved

Design Principles

- Reduce cognitive load
- Make value and completeness visible
- Intervene only at hesitation points

Direction

- Support decisions, don't push products

Top Solutions Identified

1. Smart “You Might Be Missing” Add-Ons
2. Basket Completeness Indicator
3. Value Progress Bar
4. One-Tap Smart Refill
5. Utility-Based Bundles
6. Trust Signals for Fresh Categories

Each solution maps directly to a validated insight.

RICE Prioritization

Scoring Logic

$RICE = (Reach \times Impact \times Confidence) / Effort$

Scoring Framework

- Reach: 1–100 (estimated % of active users impacted)
- Impact: 0.25 – 3 (expected AOV impact per user)
- Confidence: 20% – 100% (confidence in assumptions)
- Effort: Estimated engineering effort (weeks)

Solution	Reach	Impact	Confidence	Effort (weeks)	RICE Score
Smart “You Might Be Missing” Add-Ons	80	2.5	0.75	8	18.8
Basket Completeness Indicator	65	2	0.7	6	15.2
Value Progress Bar	70	1.5	0.75	6	13.1

One-Tap Smart Refill	50	1.5	0.65	5	9.8
Utility-Based Bundles	45	2	0.6	10	5.4
Trust Signals for Fresh Categories	40	1	0.8	6	5.3

Prioritization Outcome

- **Build First:** Smart Add-Ons, Basket Completeness Indicator
- **Layer Next:** Value Progress Bar, Smart Refill
- **Experiment / Defer:** Bundles, Trust Signals

This sequencing balances impact, confidence, and speed to value.

Risks, Assumptions & Validation

Key Risks

- Suggestions feeling promotional
- UI clutter slowing checkout
- Over-guidance reducing trust

Mitigations

- Strict relevance thresholds
- Progressive disclosure
- Intent-preserving copy

Validation Metrics

- AOV
- Items per order
- Checkout completion time
- User satisfaction

Final Recommendation

Sustainable AOV growth on Zepto will not come from pushing more products.

It will come from **helping users decide better under time pressure**.

By focusing on decision support at critical moments, Zepto can increase basket size while remaining true to its speed-first, trust-led value proposition.